

the probability of loss on these two indices lower than that of the Sensex on any given day.

There is also a technical reason why small and mid-caps are safer than large-caps. These stocks are mostly subject to circuit filters. Trading in small stocks is stopped after they hit an upper or lower limit during a trading session. This limits the loss to 5%, 10% or 20% depending on the stock filter. However, a large-cap is not subject to such freezes. As a result, the Sensex has higher daily volatility. The combination of a larger number of winning days and lower daily volatility suggests that mid-caps and small-caps are safer than they are perceived to be. There are a couple of statistical calculations, which bear this out.

One measure of risk is dividing the Standard Deviation (SD) by the average or expected return—this is called the Coefficient of Variation (CoV). The SD is a measure of dispersion, which shows how closely each return is clustered around the average. For example, the average of the series 5, 7.5, 10, is 7.5 and so is the average of the series 7, 7.5, 8. But the SD of the first series is 2 while the second series has an SD of only 0.4—the second series is less dispersed. A lower SD means lower CoV. The lower the CoV the better it is because the risk per unit of expected return is less. When we calculate CoV for these three indices, the Sensex is riskier than the other two because it has the highest CoV. It has a relatively higher average but a much higher SD. What this means in simple terms is that the chance that you will get a positive return from the small and mid-cap indices is higher than with the Sensex. But the magnitude of

WHAT ARE SMALL-CAPS AND MID-CAPS

SMALL-CAP



Stocks with market capitalisation of less than Rs 2,000 crore

MID-CAP



Stocks with market cap between Rs 2,000 crore and Rs 5,500 crore

LARGE-CAP



Stocks with market capitalisation of more than Rs 5,500 crore

PERCEPTION VS REALITY

Mid and small-caps are believed to be riskier, but data doesn't prove that

Since April 2005, the BSE Sensex has risen an average 0.017% on every day, while BSE mid-cap has risen by 0.022%.

The BSE small-cap index has grown the fastest. It has on an average risen by 0.037%, more than twice the Sensex.

While the BSE Sensex showed negative returns on 282 days, the BSE mid-cap index fell on 279 days and the BSE small-cap on 274 days.

Chances of losing money on Sensex shares are higher than with BSE mid-cap and BSE small-cap shares.

The probability of loss is 53.5% for Sensex, 52.9% for the BSE mid-cap and 51.9% for BSE small-cap.

Very simply, the small-cap and mid-cap indices gave higher returns than the Sensex.

the positive returns from small and mid-caps may be lower than the magnitude of positive returns from the Sensex.

This holds true if you are investing in the index or index-based mutual funds and not when you are investing in a stock. For individual investments in small and mid-cap stocks, the magnitude of loss or gain will be higher than that of a Sensex stock.

Why should investors move into the uncharted waters of the small and mid-caps? Well, for one, it is not unknown territory any more. There is now increased institutional support for small and mid-cap companies. Fund houses and FIs, which had till now shunned these segments, are now picking up smaller stocks. "Investments in these smaller stocks can offer better returns to the investors in the long term," says Sanjay Sinha, CIO, SBI Mutual Fund. This also means that these smaller companies are now better researched than ever before. Investors can access research reports by brokerages and investment analysts.

Of course, this should not be construed as a vote against large-caps. Small and mid-caps should complement—and not compete with—large-caps in a portfolio. Investors who already have a large-cap portfolio should diversify into small and mid-caps. They should pare their core portfolio of large-caps but not completely offload it. That way they can have the best of both worlds—the stability of large-caps plus the vibrancy of small and mid-caps.

"Investments in smaller stocks can offer better returns in long term"

SANJAY SINHA

CIO, SBI MUTUAL FUNDS

